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ID: _____

Name: _____

AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ECO102

Principles of Macroeconomics

FINAL EXAM – Form A
12-June-2025

2024 – 2025 / Spring

Number of Exam Pages: 5 (including this cover sheet)	**Time Allowed: 2 hours**

PLEASE READ THE FOLLOWING INSTRUCTIONS

Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
This is a **CLOSED** book examination. NO documents of any kind are allowed.
YOU HAVE TO ANSWER ALL THE QUESTIONS.
Do **NOT** write your answers in pencil except graphs/sketches.
Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
Simple calculators are allowed (if needed).
Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

Question No.	Mark	Marker's Signature
Q1		
Q2		
Q3		
Final	/100	

Final Mark: ____ / 50

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Question One (30 points):

Q1

Select the correct answer and **write it** in the space provided. (5 points for each question)

1. What is the definition of inflation? 1.

A) A persistently rising price level
B) A persistently falling price level
C) A steady price level
D) A reduction in employment

2. Suppose the CPI last year is 121 and the CPI this year is 137. What is the CORRECT method to calculate the inflation rate? 2.

A) (137 - 121)/100 = 0.16
B) 137 × 121 = 258
C) [(137 - 121)/121] × 100 = 13.2
D) (137/121) × 100 = 113.2

3. Which component makes up the largest portion of the CPI basket? 3.

A) Transportation
B) Housing
C) Food and beverages
D) Medical care

4. What happens during hyperinflation? 4.

A) Prices decrease significantly
B) Money loses value extremely fast, and prices rise rapidly
C) Unemployment drops to zero
D) The economy stabilizes

5. If the CPI was 150 at the end of last year and 165 at the end of this year, the inflation rate over these two years was: 5.

A) 10 percent.
B) 15 percent.
C) 12 percent.
D) 9 percent.

6. 6.

6. The aggregate demand curve

A) has a negative slope.
B) has a positive slope.
C) is vertical.
D) is horizontal.

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Question Two (30 points):

A. The unpredictable inflation or deflation is considered a problem in an economy. List the four negative effects it can have. (10 points)

B. What does the Consumer Price Index (CPI) measure? (5 points)

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C. The following tables show the cost of a consumer price index (CPI) basket in two different years. (15 points)

The cost of the CPI basket at base-period prices: 2020

Item	Quantity	Price (2020)	Cost of CPI Basket
Apples	8	$1.00	$8
Haircuts	3	$10.00	$30
Total			$38

The cost of the CPI basket at current-period prices: 2023

Item	Quantity	Price (2023)	Cost of CPI Basket
Apples	8	$1.75	$14
Haircuts	3	$12.00	$36
Total			$50

Using the data above:

1) Calculate the Consumer Price Index (CPI) for the year 2023. Show the correct formula and your calculation steps. (10 points)

2) By what percentage has the price level increased from 2020 to 2023? (5 points)

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Question Three (40 points)

A. Define aggregate supply and explain the difference between short-run aggregate supply and long-run aggregate supply (20 points).

B. Define the aggregate demand curve? and List four key factors that influence consumers' and firms' buying plans in an economy. (20 points)

End of Exam

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